- Political leadership – *svamin*
- Good governance through counsellors – *amatyas*
- Territory and people – *janapada* or *rashtra*
- The economy – *kosha*
- Fortifications – *durga*
- Military power – *danda*
- Allies – *mitras*

Taking an approach rooted in prudence, Kautilya then goes on to formulate foreign policy options for an active and expanding state in a multistate setting when confronted with a hostile state (*vigraha*). The options are:

- Seeking peace through treaty – *sandhi*
- Staying neutral – *asana*
- Marching on an expedition – *yana*
- Seeking protection from stronger states – *samshraya*
- Pursuing a dual policy of war with one state and peace with another – *dvaidhibhava*

Based on these categories of states (hostile or friendly, for example) and actions, which can exist or take place in several permutations and combinations, Kautilya builds his international relations theory along the form of the *mandala* or organizing principle. One must be careful not to become mechanistic in applying this template to contemporary situations but there is no doubt that as a method of managing a multipolar, multistate scenario the *Arthashastra* has much to teach us.

The Kautilyan tradition of statecraft was acknowledged and elaborated on by several later masters. For those in the world of diplomacy, the *Nitisara* of Kamandaki is also a truly remarkable text. It builds on the work of Kautilya and earlier scholars, and also uses the *mandala* as a conceptual framework for examining interstate relations. At the most basic level is the state, which has a set of immediate neighbours and a set of neighbours' neighbours. This is the elementary *mandala* . The states that are immediate neighbours have an inherent tendency to be hostile towards the protagonist